UNIT 7

BUSINESS ENVIRONMENT

20 CHAPTER

LIBERALIZATION, PRIVATIZATION AND GLOBALIZATION

ஊருணி நீர்நிறைந் தற்றே உலகவாம்
பேரறி வாளன் திரு.

–குறள் 215

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The wealth of that man of eminent knowledge who desires to exercise the benevolence approved of by the world, is like the full waters of a city-tank.

M5ZMP5

Learning Objectives

To enable the students to understand the

- Meaning, measures, advantages, disadvantages and impact of Liberalisation
- Meaning, measures, advantages, disadvantages and impact of Privatisation
- Meaning, measures, advantages, disadvantages and impact of Globalisation
- Highlights of LPG

Chapter Synopsis

20.01 Dimensions of New Economic Policy
20.02 Meaning and forms of Liberalisation
20.03 Advantages and disadvantages of Liberalisation
20.04 Impact of Liberalisation
20.05 Meaning and Forms of Privatisation
20.06 Advantages and disadvantages of Privatisation
20.07 Impact of Privatisation
20.08 Meaning and Forms of Globalisation
20.09 Advantages and disadvantages of Globalisation
20.10 Impact of Globalisation
20.11 Highlights of LPG policy

During 1991, India approached International Bank for Reconstruction and Development (IBRD), popularly known as World Bank and International Monetary Fund (IMF) and received $ 7 million as loan to repay the external borrowings. These international agencies expected India to liberalise and open up economy by removing restrictions on private sector and remove trade restrictions between India and other countries.

India agreed to the conditions of World Bank and IMF and announced New Economic Policy (NEP) which consists of wide range of economic reforms. This new set of economic reforms is commonly known as the LPG or Liberalisation, Privatisation and Globalisation model.

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